

QTM 220 Final Practice Problems

Problem 1

Suppose you have a sample $Y_1, Y_2, \dots, Y_n$ drawn with replacement from a population with mean μ and standard deviation σ .

Consider the following estimator for μ : $\tilde{Y} = \frac{1}{n+2} \sum_{i=1}^n Y_i$

Part A

What is $E[\tilde{Y}]$?

Part B

How does $E[\tilde{Y}]$ compare to $E[\bar{Y}]$? (where $\bar{Y} = \frac{1}{n} \sum_{i=1}^n Y_i$)

Part C

Showing your work, calculate $Var[\tilde{Y}]$.

Part D

How does $Var[\tilde{Y}]$ compare to $Var[\bar{Y}]$?

Problem 2

Suppose we have a sample of $Y_1 \dots Y_n$ and $X_1 \dots X_n$ stored in an **R** dataframe 'df' with n rows. We run this code.

```

B=10000
beta_0<- rep(NA,B)
beta_1<- rep(NA,B)
for( b in 1:B ){
  bootind = sample(1:n,size=n,replace=T)
  dfboot = df[bootind,]
  mod<- lm(y~x, data=dfboot)
  beta_0[b] = mod$coef[1]
  beta_1[b] = mod$coef[2]
}

```

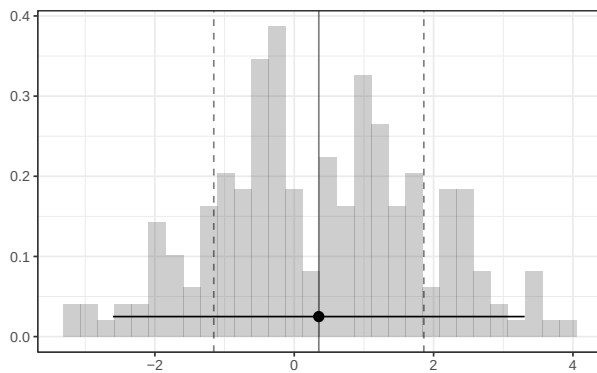


Figure 1: Histogram of the vector Y's elements

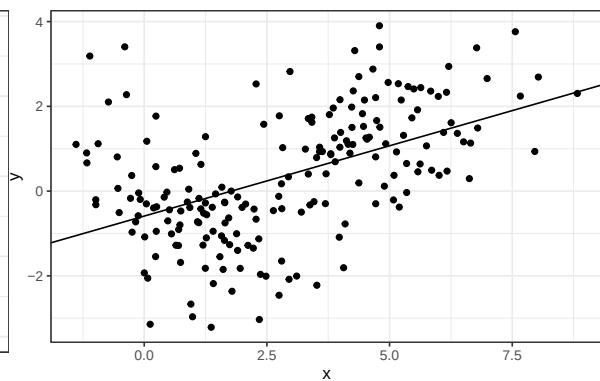


Figure 2: Scatterplot of X and Y

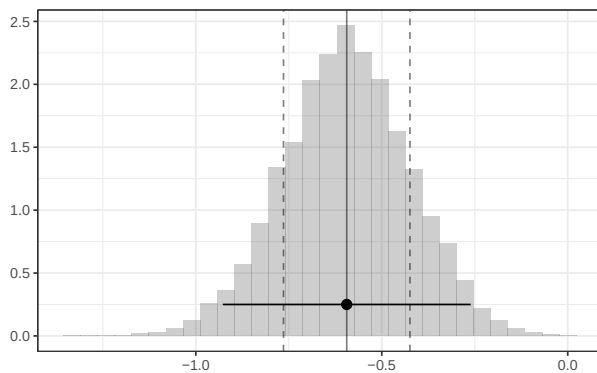


Figure 3: Histogram of the beta_0's elements

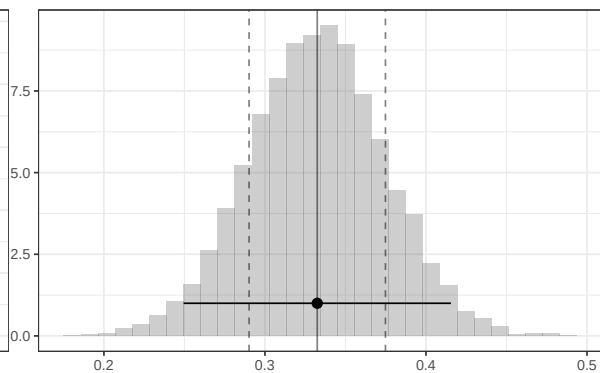


Figure 4: Histogram of the beta_1's elements

Part a

What does this code calculate? State it in words and mark it with an 'a', and an arrow or bracket if necessary for clarity, on the appropriate plot above.

```
mean(Y)
```

Part b

What does this code calculate? State it in words and mark it with a ‘b’, and an arrow or bracket if necessary for clarity, on the appropriate plot above.

```
sd(Y)
```

Part c

What does this code calculate? State it in words and mark it with a ‘c’, and an arrow or bracket if necessary for clarity, on the appropriate plot above.

```
mod<- lm(y~x, data=df)
mod$coef[1]
```

Part d

What does this code calculate? State it in words and mark it with a ‘d’, and an arrow or bracket if necessary for clarity, on the appropriate plot above.

```
sd(beta_1)
```

Part e

What does this code calculate? State it in words and mark it with a ‘e’, and an arrow or bracket if necessary for clarity, on the appropriate plot above.

```
mod$coef[2] + sqrt(diag(solve(t(X)%*%X)%*%t(X)%*%diag(resid^2)%*%X)%*%solve(t(X)%*%X)))[2]
mod$coef[2] - sqrt(diag(solve(t(X)%*%X)%*%t(X)%*%diag(resid^2)%*%X)%*%solve(t(X)%*%X)))[2]
```

Part f

How could you calculate roughly the same thing as in part e using ‘sd(beta_1)’